

Recommended Reading:

Scott Besley and Eugene F. Brigham – Essentials of Managerial Finance, 14th Edition, The Dryden Press, 2008.

Lawrence J. Gitman - Principles of Managerial Finance, 14th Edition, Pearson Education Inc., 2018.

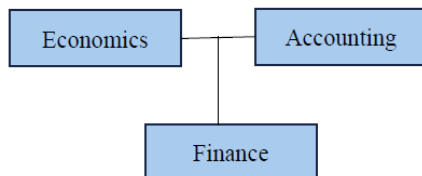
What is Finance?

- Study of *Money*
- Finance is not just about numbers; it's about understanding the world of money and making informed decisions.
- managing the sources (financing) and uses (investment) of money.

Different Aspects of Finance

- Personal Finance
 - Individual's or a family's financial decisions, including budgeting, saving, investing, and planning for retirement or major life events.
- Corporate Finance
 - Financial decisions made by companies and organizations; such as capital budgeting, investment decisions, and determining the optimal mix of debt and equity etc.
- Public Finance
 - Involves a government's decisions regarding obtaining and spending money for the people, including budgeting, taxation, and public expenditure etc.

Finance, Economics and Accounting



People who work in finance need knowledge of both economics and accounting.

- Financial decisions are often analyzed through economic principles like supply and demand, opportunity cost, etc.
 - Accounting primarily deals with historical data – recording past financial transactions and summarizing them in financial statements.
 - Finance denotes a forward-looking perspective – planning and making decisions about future cash flows often based on the past data.
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- Rational Financial Decisions.

- (1) More value is preferred to less
- (2) The sooner cash is received, the more valuable it is
- (3) Less risky assets are more valuable than (preferred to) riskier assets.

- The Basic Areas of Finance

1. Managerial finance or business finance

-Some important questions that are answered using finance:

- * What long-term investments should the firm take on?
- * Where will we get the long-term financing to pay for the investment?
- *How will we manage the everyday financial activities of the firm?

2. Investments

- * Working with financial assets such as shares and bonds
- * Value of financial assets, risk versus return and asset allocation

3. Financial institutions

Companies that specialize in financial matters

- Banks commercial and investment, credit unions, savings and loans,
Insurance companies, Brokerage firms

4. Financial Services

5. International finance

- Ownership Structure of the Firm

- Forms of Business Organizations: Definition, Advantages & Disadvantages

1. Sole proprietorship

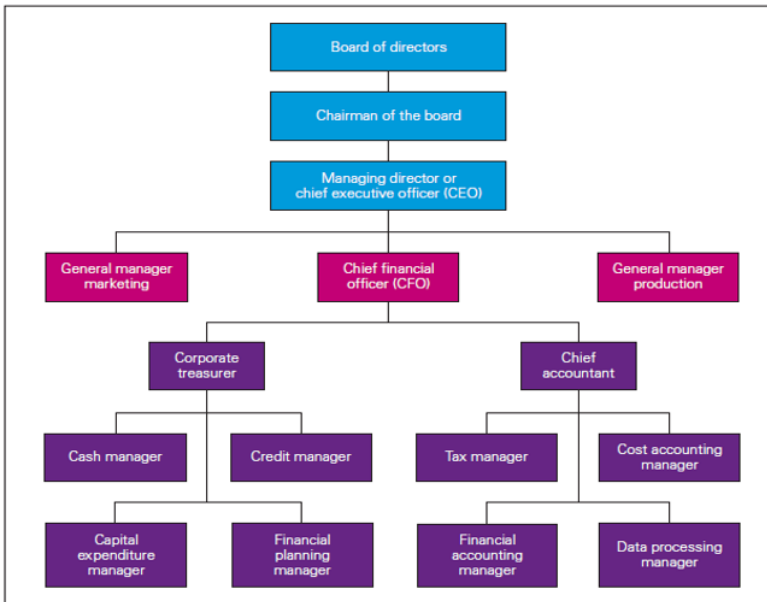
Advantages	Disadvantages
• Easiest to start • Least regulated • Single owner keeps all the profits • Taxed once as personal income	• Limited to life of owner • Equity capital limited to owner's personal wealth • Unlimited liability • Difficult to sell ownership interest

2. Partnership

Advantages	Disadvantages
• Two or more owners • More capital available • Relatively easy to start • Income taxed once as personal income	• Unlimited liability • General partnership • Limited partnership • Partnership dissolves when one partner dies or wishes to sell • Difficult to transfer ownership

3. Corporation

Advantages	Disadvantages
• Unlimited life • Easy transferability of ownership interest • Limited liability	• Setting up is complex and time consuming • Taxed at the corporate level



A simplified Organizational Chart

- Financial Manager: Basic Responsibilities

- * Produce financial reports
- * Direct investment activities
- * Develop strategies
- * Plan for the LT financial goals

- Goal of the corporation

Goal of the Corporation

What should be the goal of a corporation/ financial manager of company?

- Maximize profit?
- Minimize costs?
- Maximize wealth?
- Customer Satisfaction?
- Employee Motivation?

Finance teaches that managers' primary goal should be –

- ✓ Maximize wealth

To maximize the wealth of the firm's owners, the stockholders

- Wealth Maximization – What and Why?

1. *Cash flow consideration* : Profits are calculated on accrual basis

- ✓ revenues are recognized when they are earned, not when the cash is received
- ✓ expenses are recognized when they are incurred, not when the cash is paid

Accounting assumptions and techniques can give a positive profit even if when Higher earnings $\neq$ higher stock price

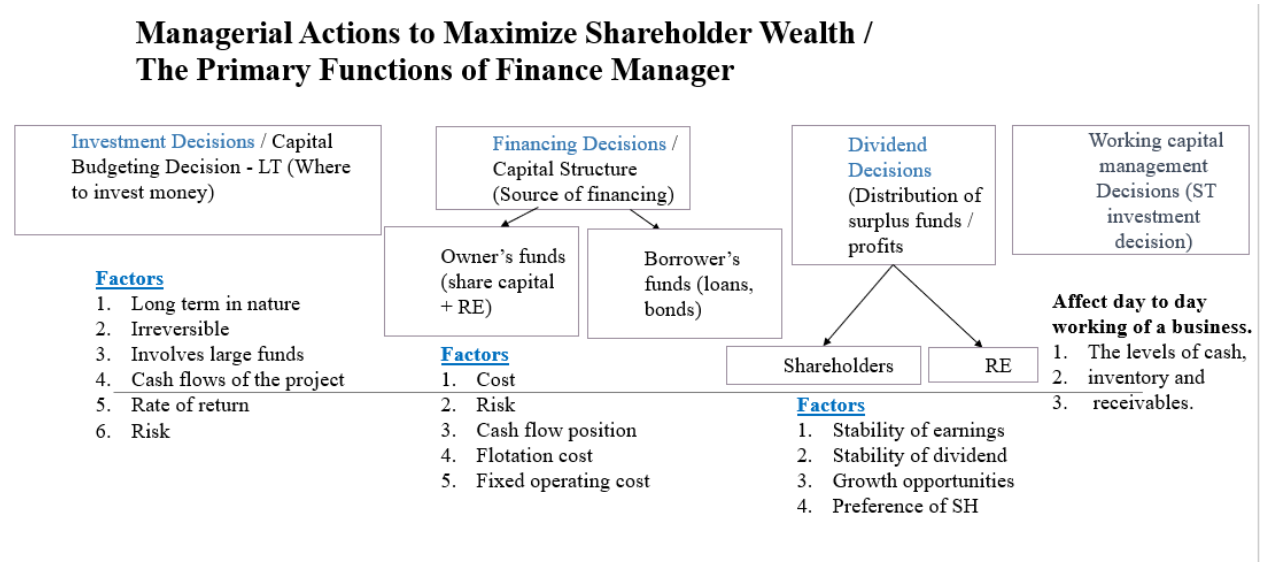
2. *Risk*

- In general stockholders are risk averse
 - For a fixed level of risk, investors/ stockholders expect higher return (or CF) and vice versa.
- A trade-off exists between return and risk – key determinants of share price
 - Wealth maximization aims to optimize the risk-return trade-off to ensure a sustainable value creation.
- Profit maximization also fails to account for risk
 - Managers may involve taking excessive risks for immediate gains – unethical behaviour like window dressing, creative accounting etc.

3. *Timing*

- Usually, the receipt of funds sooner rather than later is preferred – *time value of money*.
- However, the focus should not be short-term gains, but the overall value creation – CFs not merely accounting profit.

-Managerial Actions to Maximize Shareholder Wealth / The Primary Functions of Finance Manager



-Agency Problem & Cost

- Agency problem: Conflict of interest between principal and agent.
- Agency Cost: Costs to mitigate agency problem.

Possible Solutions

- ✓ Managerial compensation
- ✓ Shareholder intervention
- ✓ Threat of takeover

-Business Ethics: Business ethics indicate the standards of conduct or moral judgment that apply to persons engaged in business.

- Ethical behavior requires fair and honest treatment of all stakeholders.
- Positive correlation between ethics and long-run profitability
- Prevents fines and legal expenses, builds public trust, attracts those who appreciate and support ethical policies, keeps employees of the highest caliber, and supports economic viability.

-Corporate Governance

- Corporate governance (CG) plays a critical role in minimizing agency problems within corporations
- CG are the rules, processes, and laws by which companies are operated, controlled, and regulated.
 - rights and responsibilities of the corporate participants
 - ✓ such as the shareholders, board of directors, officers and managers, and other stakeholders
 - rules and procedures for making corporate decisions
- A well-defined corporate governance structure is intended to benefit all corporate stakeholders
 - ensuring that the firm is run in a lawful and ethical fashion
 - in accordance with best practices
 - subject to all corporate regulations

*****Please study in detail from book*****